

Understanding What the Numbers Tell Us

*Last session you learned to read the statements.
Tonight: what they mean — and what they warn.*

Two statements — and where tonight's gauges come from.

Income Statement • an example business (\$000)

LINE	YEAR
Revenue	2,400
Cost of goods sold	(1,440)
Gross profit	960
Operating expenses	(860)
Operating income	100
Interest & taxes	(40)
Net income	60

Balance Sheet • same business (\$000)

LINE	YEAR END
Cash	180
Accounts receivable	310
Inventory	420
Total current assets	910
Property & equipment, net	540
Total assets	1,450
Total current liabilities	450
Long-term debt	400
Owner's equity	600
Total liabilities & equity	1,450

TONIGHT'S ARC

The toolkit. Eight gauges built from the highlighted lines — each one a question, a formula, and a way to read the answer.

The story. We take the toolkit to a company you know — Peloton — across three years that contain an entire business education.

The build. After the break we turn the telescope around and build a company's future: a 24-month pro forma you take home.

Every highlighted line above feeds a gauge we'll use tonight. Nothing else on these statements is needed to read a business.

Is the work itself making money?

GROSS MARGIN

$$(\text{revenue} - \text{cost of goods sold}) \div \text{revenue}$$

Of each revenue dollar, how much survives the direct cost of delivering?

How to read it: this is the money left to pay for everything else — marketing, salaries, rent, you. Higher means more cushion. When a company sells more than one thing, compute it **per product line**; a blended number hides the weak half.

NET MARGIN

$$\text{net income} \div \text{revenue}$$

After absolutely everything — did the year make money?

How to read it: the final verdict per dollar of sales. Negative isn't automatically fatal — but it always demands the next question: *what is funding the gap, and for how long?*

How fast is cash leaving — and how long until it's gone?

BURN RATE

cash out – cash in, per month or quarter

How much cash does the business consume per period?

How to read it: profit is an opinion shaped by accounting rules; burn is a fact shaped by your bank balance. A profitable company can burn cash — and an unprofitable one can generate it. Burn is measured from the cash flow statement, never from the P&L.

RUNWAY

cash on hand ÷ burn per period

At this burn rate, how long does the business live?

How to read it: the most consequential division in a founder's life. Under twelve months and fixing it becomes the day job — because raising money takes about six, and desperation is visible from across the table.

Can you cover what's due soon?

CURRENT RATIO

current assets ÷ current liabilities

Do near-term resources cover near-term obligations?

- **Below 1.0** — bills coming due exceed resources available. A flashing light.
- **Around 2.0** — conventionally comfortable for most operating businesses.
- **Very high** — not automatically good; can mean cash sitting idle or inventory piling up.

A CAUTION ABOUT THIS GAUGE

The formula adds three very different things together and treats them as interchangeable:

- **Cash** — spendable today.
- **Receivables** — spendable when customers actually pay.
- **Inventory** — spendable only *if* it sells, and only at whatever price it then fetches.

A current ratio of 2.0 built on cash means something very different from a 2.0 built on unsold product. Remember this — it matters tonight.

Is product moving — or sitting?

INVENTORY TURNOVER

cost of goods sold ÷ inventory

How many times a year does the shelf empty and refill?

Why COGS on top, not revenue: inventory sits on the books at what you *paid* for it. Dividing a selling-price number by a cost number would smuggle your markup into the answer. Cost over cost — always.

DAYS SALES OF INVENTORY

365 ÷ turnover

The same gauge with a friendlier face: how long does a unit sit before it sells?

Turnover and DSI are one measurement stated two ways. **6 turns = 61 days. 4 turns = 91 days. 2.4 turns = 152 days.** Days are easier to feel: *that box has been in the warehouse since March.*

Inventory is cash wearing a costume — and the costume costs money.



Not a ratio — a discipline. Every dollar on that shelf is a dollar that can't make payroll, and while it sits, it quietly bills you five ways:

- **Capital tied up** — cash already paid, frozen until sale
- **Storage & handling** — warehouses, freight, the moving of boxes
- **Insurance & shrink** — protecting it, losing some anyway
- **Obsolescence** — the world moves; the box doesn't
- **Forced discounting** — when it finally must move, it moves at a markdown

No inventory? Then your receivables are your inventory.

DAYS SALES OUTSTANDING

accounts receivable ÷ revenue × 365

How long after doing the work do you actually get paid?

Our example business: \$310K of receivables on \$2.4M of revenue = **47 days**. Seven weeks of completed work sitting unpaid — the exact structural twin of five months of product on a shelf.

THE RECEIVABLES DRAG

the service business's carrying cost

- **Capital tied up** — you delivered, you paid your people, and now you are financing your client
- **Collection labor** — someone's hours spent chasing invoices instead of selling
- **Early-pay discounts** — the services version of a markdown
- **Bad debt** — the services version of obsolescence: work delivered, never paid for

Accounts Receivable Aging (\$000)

BUCKET	AMOUNT	% OF A/R	COLLECTIBLE
Current — not yet due	180	58%	very high
1–30 days past due	78	25%	high
31–60 days past due	31	10%	slipping
61–90 days past due	12	4%	at risk
Over 90 days	9	3%	assume trouble
Total receivables	310	100%	

Why the aging matters more than the total. DSO gives you one number; the aging tells you whether that number is healthy or hiding something. Two firms can both post 47 days — one with everything current and a few slow payers, the other with half its balance past 60. Same gauge, opposite businesses. **Watch the shape of the tail, not just the average.**

How much of this business was built with borrowed money?

DEBT-TO-EQUITY

total debt ÷ stockholders' equity

Whose money is at risk here — yours, or the bank's?

How to read it: leverage is an amplifier. It multiplies your returns in a good year and your losses in a bad one, and it never asks which kind of year you're having.

The same \$600K business, financed three ways

STRUCTURE	DEBT	OWNER'S EQUITY	D/E	RETURN ON EQUITY IN A +\$100K YEAR	...AND IN A -\$100K YEAR
No debt	0	600	0.0	+16.7%	-16.7%
Moderate	300	300	1.0	+33.3%	-33.3%
Heavy	500	100	5.0	+100.0%	-100.0%

Interest cost excluded to isolate the leverage effect. In the heavy case, one bad year erases the owner entirely.

One standing rule for every gauge in this toolkit: when a ratio returns a bizarre answer, don't excuse it and don't average it away — take it apart and find out which component is lying. Tonight ends on a spectacular example.

THE STORY · CHAPTER ONE

Peloton 2021 Wall Street Darling

Eighteen months into the pandemic, Peloton is the defining stay-at-home company. Bikes are backordered. The stock has touched \$145. The fiscal year just closed is the best in company history — and it is about to be filed with the SEC for anyone to read.

Two businesses in one company — and only one of them strong.

Condensed P&L · FY2021 (\$M)

LINE	AMOUNT	% OF REVENUE
Revenue	4,021.8	100.0%
Cost of revenue	(2,567.4)	63.8%
Gross profit	1,454.4	36.2%
Operating expenses & all else, net	(1,643.4)	40.9%
Net loss	(189.0)	-4.7%

Revenue by segment (\$M)

SEGMENT	REVENUE	GROSS PROFIT	MARGIN
Connected fitness hardware	3,149.6	912.7	29.0%
Subscription	872.2	541.7	62.1%

Condensed Balance Sheet · 6/30/2021 (\$M)

LINE	AMOUNT
Cash & equivalents	1,134.8
Marketable securities	472.0
Accounts receivable	71.4
Inventories, net	937.1
Other current assets	202.8
Total current assets	2,818.1
Total assets	4,485.6
Total current liabilities	1,243.0
Total liabilities	2,731.5
Stockholders' equity	1,754.1

Five months of product on the shelf, bought at peak demand.

P&L detail · hardware segment, FY2021 (\$M)

LINE	AMOUNT
Hardware revenue	3,149.6
Hardware cost of goods sold	2,236.9
Hardware gross profit	912.7

Balance sheet detail · 6/30/2021 (\$M)

LINE	AMOUNT
Inventories, net	937.1
Cash + securities (for scale)	1,606.8
Total current assets	2,818.1

2,236.9 ÷ 937.1 = **2.4 turns** per
year

INVENTORY TURNOVER

365 ÷ 2.4 = **≈ 153 days**

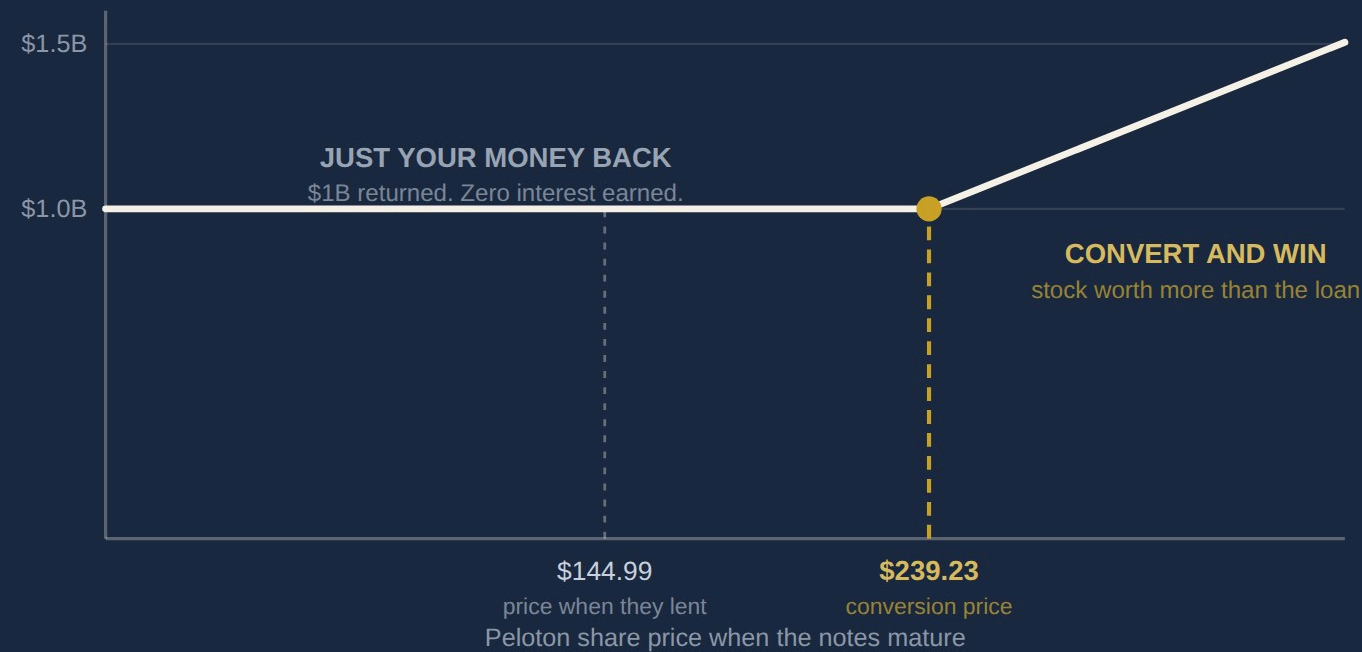
DAYS SALES OF INVENTORY

February 2021: Wall Street lends Peloton a billion dollars. For free.

FIRST, THE INSTRUMENT — NEW TO MOST ROOMS

A **convertible note** is a loan with a lottery ticket stapled to it. The lender can be repaid like any normal loan — or **convert** the IOU into stock at a price fixed on day one. That fixed price is the **conversion price**, and it works exactly like a strike price: worthless if the stock stays below it, valuable the moment the stock climbs above. Because the ticket has value, lenders accept less interest in exchange. Sometimes far less.

WHAT THE LENDER COLLECTS IN FEBRUARY 2026, AT ANY SHARE PRICE



The terms

Amount borrowed	\$1.0B
Coupon	0%
Conversion price	\$239.23
per \$1,000 note	≈ 4.18 shares
Share price at pricing	\$144.99
Premium to market	65%
Maturity	February 2026

THE STORY · CHAPTER TWO

Peloton 2022 Post-COVID New Realities

The world reopens. Gyms refill. Backorders clear — and then orders stop clearing. Demand doesn't collapse so much as return to earth. But the company was built, staffed, stocked, and financed for the sky.

The same gauge, twelve months later.

Gross margin by segment (\$M)			
LINE	FY2021	FY2022	CHANGE
Hardware gross profit	912.7	(246.3)	−\$1,159.0
Hardware gross margin	29.0%	(11.3)%	−40.3 pts
Subscription gross profit	541.7	944.7	+\$403.0
Subscription gross margin	62.1%	67.7%	+5.6 pts
Blended gross margin	36.2%	19.5%	−16.7 pts

Hardware now loses money on every single unit sold — before one dollar of marketing, rent, or salary is counted. A 29% margin had no room to absorb stress. Stress arrived: discounting to move inventory, freight costs, and factory capacity built for a demand curve that evaporated.

Inventory turns slowed while the shelf grew.

The inputs (\$M)

LINE	FY2021	FY2022
Hardware cost of goods sold	2,236.9	2,433.8
Inventories, net (year end)	937.1	1,104.5
peak balance, Dec 2021		1,541.3
Inventory write-downs & reserves	—	(222.1)

FY21: $2,236.9 \div 937.1 = 2.4 \text{ turns} \rightarrow 153 \text{ days}$

FY22: $2,433.8 \div 1,104.5 = 2.2 \text{ turns} \rightarrow 166 \text{ days}$

Now the only two gauges that matter.

BURN RATE & RUNWAY

cash on hand ÷ burn per period = runway



Current ratio: the one gauge that stayed green.

current assets ÷ current liabilities

From the balance sheets (\$M)		
LINE	6/30/2021	6/30/2022
Total current assets	2,818.1	2,634.6
of which: inventory	937.1	1,104.5
Total current liabilities	1,243.0	1,105.5

2.27

FY2021 · THE DARLING YEAR

2.38

FY2022 · THE NEAR-DEATH YEAR
HIGHER

THE STORY · CHAPTER THREE

Peloton Today

How Did They Survive?

- **They stopped building bikes.** Owned manufacturing exited; production handed to partners. No factories, no fixed cost.
- **They shrank the shelf.** Inventory fell from \$1.54B at the peak to \$206M — an 87% reduction.
- **They let the good business carry them.** Subscription now generates the overwhelming majority of gross profit.
- **Result:** blended gross margin recovered from 19.5% to roughly 51%, and recent quarters have turned profitable.

Stockholders' equity, year by year (\$M)

June 2022	592.9
June 2023	(295.1)
June 2024	(519.1)
June 2025	(413.8)
cumulative losses since founding	(5,602.6)
Total debt, June 2025	1,499.0

The bet, drawn to scale.



Debt is a promise made by your most optimistic self.

The life of one billion dollars		
WHEN	WHAT HAPPENED	COST OF THAT MONEY
Feb 2021	\$1.0B borrowed. Lenders take stock upside instead of interest; strike set at \$239.23 with the shares at \$144.99.	0%
2022–2025	The shares never approach the strike. The lottery ticket quietly expires. The loan remains a loan — full principal, fixed due date.	0%
Feb 2026	Notes mature with the stock in single digits. Nobody converts. \$1.0B repaid in cash by a company with negative equity — refinanced in part with \$350M of notes due 2029.	5.50%

The headlines said darling. The gauges said fragile.

June 2021 — what each gauge was saying, in real time

GAUGE	READING	WHAT IT WAS TELLING US
Gross margin, by segment	29% / 62%	Four-fifths of revenue had no cushion for stress
Net margin	-4.7%	The best year in history didn't pay for itself
Turnover / DSI	2.4x · 153 days	A heavy shelf, stocked at peak demand
The inventory drag	\$937M frozen	Carrying costs ticking; markdown risk fully loaded
Current ratio	2.27	Looked healthy — with a numerator full of boxes
Cost of capital	0%	The market believed the headlines, not the filings

Important note: different size companies have different metrics.

The eight gauges are universal. The numbers you compare them against are not — and three things change when the company is yours rather than public.

- **Normalize your own paycheck.** In a public company, executive pay is a market number. In yours, owner compensation is a tax and lifestyle decision wearing an expense's clothes. Restate it at what you'd pay a stranger to do the job before you trust any margin.
- **Expect small-N volatility.** Peloton's gauges move on millions of transactions; yours move when one \$80K invoice lands a week late. A single month means almost nothing — read trends across quarters.
- **Never borrow another company's benchmarks.** Scale changes the arithmetic: a public company's 12% net margin and your 12% net margin describe entirely different businesses with different cost structures, tax treatment, and access to capital. Your own history is the comparison that binds.

You just read a company backward. Now build one forward.

Everything tonight was diagnosis — statements someone else already lived. A pro forma is the same statements written *before* they happen. And its first reader won't be an accountant. It'll be an angel investor, who reads four numbers first:

- **When do you die?** — the monthly cash line
- **How much do you need?** — the capital requirement
- **When does this stop needing you?** — the break-even month
- **Is the work itself profitable?** — gross margin, gauge 1, again

One model, built together, yours to keep.

SEVEN LEVERS — YOU SUPPLY THESE

1

Startup costs

2

Product development

3

Revenue & business model

4

Marketing programs

5

Staffing — dates & salaries

6

Sales costs

7

Capital requirements — what you raise, and when

ONE MODEL — 24 MONTHS, RECALCULATED LIVE

	M1	M4	M8	M12	M16	M20	M24
Revenue							
Cost of delivery							
Payroll							
Marketing & sales							
Net income							
Ending cash							

Change any lever on the left — every column on the right recalculates.

**The numbers were telling us the whole
time.**